

TRAIN AND TEST

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Today

- 1 Score every submission against August, live
- 2 Read the leaderboard, including the parts that surprise you
- 3 What the coefficients say carried the signal
- 4 Why this is not yet a trading strategy

THE REVEAL

The Bar

August 2026 calls. The earnings surprise alone, with no help from anyone's signals, explains this much of the cross-section of reactions.

0.0__

R-SQUARED, SURPRISE ALONE

AUGUST EVENTS SCORED

Everything on the leaderboard is the gain on top of this number. Half of it is not a starting point; zero is.

```
python leaderboard.py submissions/
```

Two groups with identical scores

one of them flipped every sign

A group near $+0.015$

that is the noise floor, not a small edge

A group at exactly 0.000

constant predictions; no variance, no coefficient

A group with 60% coverage

missing events filled with their own mean

Coverage is imputed with the submission's own mean, computed before filling. You cannot improve your rank by predicting only the easy events.

Four Results You Should Expect

Train Versus Test

MAY, IN SAMPLE

What you saw Thursday. Cross-validated, but you tuned your dimensions against it, repeatedly.

AUGUST, HELD OUT

You never saw these returns. Neither did the model that made the prediction.

The gap between the two columns is the most honest number in the course.

WHAT CARRIED IT

The Coefficient Table

Ridge on standardised signals. This is the slide worth arguing about.

capital_return	0.0458
guidance_magnitude	0.0361
guidance_revision	0.0304
demand_commentary	0.0271
margin_direction	0.0221
revenue_momentum	0.0164
management_hedging	0.0147
mix_shift	-0.0043
one_off_dependence	-0.0023

From my run on a different period. Yours will differ, and the differences are the discussion.

Questions for the Table

Which survived?

A dimension that matters in May and vanishes in August was probably never real.

Which are the same thing?

`guidance_revision` and `guidance_magnitude` are close to collinear. Ridge splits them; the split is arbitrary.

What is missing?

Anything the ten facts never mention, your signals cannot see.

Where the Bodies Are Buried

- 1 Ten dimensions, tuned by hand against a training number you looked at many times
- 2 One month, one market regime
- 3 No standard errors on any coefficient
- 4 Small caps with violent reactions dominate the tails

Every one of these is a reason your held-out number is lower than your training number. None of them is a reason to stop.

WHAT THIS IS NOT

Explaining Is Not Predicting

We explained a return using information released at the same time as the return. That is comprehension, not a trade.

20%

R-SQUARED IN THE PAPER

0%

OF IT IS ALPHA

To trade this you would need the signal before the market has it. The call is public the moment it ends.

Speed

Have the number before the price does.
Minutes, and against everyone else doing the same thing.

Drift

Predict the days *after* the reaction, not the day of it. Post-earnings announcement drift is a real and long-documented effect.

The second one uses everything you built today and changes only the label. Thursday we go there.

What Would Make It a Strategy

The Transferable Part

- 1 The model turns text into a number; conventional code decides what it means
- 2 The expensive step is shared; you differentiate on the cheap one
- 3 Signals are formed without the outcome, enforced by the imports
- 4 A positive R-squared is a hypothesis until a permutation test survives it

None of that is about earnings calls. It is how you build anything that reads text and takes a position.